

S&P Global Eurozone Composite PMI[®]

Eurozone output stabilises in June and inflation cools

June 2026

S&P Global Eurozone Composite PMI Output Index at 50.0 (May: 48.5). 3-month high.

S&P Global Eurozone Services PMI Business Activity Index at 49.4 (May: 47.7). 3-month high.

Input costs rise at softest pace since February

After two months of moderate decline in business activity across the euro area in April and May, the latest S&P Global PMI[®] survey data signalled a stabilisation of the economy at the end of the second quarter. Private sector payroll numbers were also broadly steady, after job cutting had intensified during the previous month. Other positive outcomes included a pick-up in business confidence to a four-month high and an easing in the rate of cost inflation.

The seasonally adjusted S&P Global Eurozone Composite PMI[®] Output Index – a weighted average of the Manufacturing PMI Output Index and the Services PMI Business Activity Index – rose to its highest level in three months in June and in doing so, posted outside of contraction territory for the first time since March. At 50.0, the headline index was up from 48.5 in May and indicated a stabilisation in output, following two months of decline. The overall stabilisation in output was a consequence of growth in manufacturing being offset by a further (but slower) decline in services.

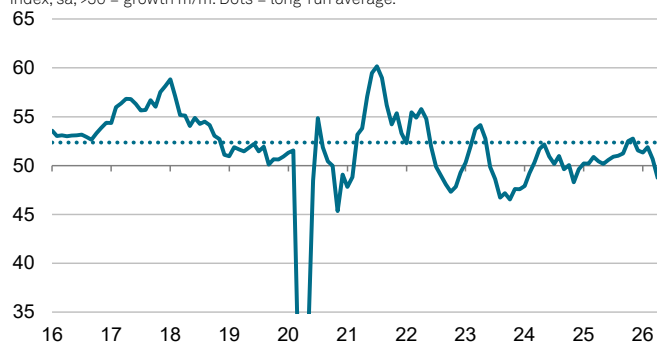
Helping to lift the eurozone economy out of its downturn were sharper expansions in business activity in Italy, Spain and Ireland. While the currency bloc's two largest nations – Germany and France – remained in contraction, rates of decline eased from May. In fact, the reduction in German private sector output was only marginal.

Business activity across the euro area managed to stabilise in June despite a further reduction in demand. New business volumes fell for a fourth successive month, although the contraction was marginal and the joint-slowest seen over this period (matching March).

As for new export* business, June heralded another month of decline, although as was the case with total new orders, the pace of reduction slowed from the previous month.

Eurozone private sector companies made further inroads into their backlogs of work during the latest survey period. The rate of depletion was fractionally slower than those seen in both April and May, but nonetheless among the quickest

S&P Global Eurozone Composite Output PMI
Index, sa, >50 = growth m/m. Dots = long-run average.



Data were collected 11-25 June 2026.

Source: S&P Global PMI. ©2026 S&P Global.

Comment

Chris Williamson, Chief Business Economist at S&P Global Market Intelligence:

"An easing of downturn in eurozone service sector business activity during June is welcome news and, in conjunction with manufacturing growth, means the wider economy has stabilised after two months of falling output.

"A key drag on economic growth since the outbreak of the war in the Middle East has been the subduing of demand from consumers due to the energy price spike, but these inflationary pressures have shown signs of cooling markedly in June. Input cost inflation in the service sector fell in June to the greatest extent since data were first available in 1998, barring only that seen in the COVID-19 lockdowns of early 2020. This has helped support a revival of growth of services activity in some of the sectors which had been hardest hit by the war, notably leisure and tourism.

"Business confidence in the outlook has also improved to its most optimistic since the war began. Hopes are pinned on further improvements to demand if the situation in the Middle East continues to improve, returning the eurozone to growth as we head into the second half of the year.

"The near-unprecedented cooling of cost pressures will take the heat out of some of the more hawkish views among ECB policymakers, reducing the odds of further rate hikes in the near future as rate setters await greater clarity of growth prospects and, most importantly, how rapidly price pressures are fading."

over the past year. While the sustained fulfilment of orders may be a signal of underused capacity, employment was virtually unchanged in June. This represented somewhat of an improvement from May, when private sector payroll numbers across the eurozone fell at a pace that was the quickest in five-and-a-half years (albeit marginal).

There was a further improvement in business confidence across the eurozone in June, taking it further above April's recent low. In fact, growth expectations for the coming 12 months were their most optimistic since the outbreak of war in the Middle East.

A marked easing of inflation rates since May was a key finding from the latest PMI survey data. Although input prices rose sharply and at a pace that was above the historical trend, the rate of increase was the softest in four months. Output charges were subsequently raised by the smallest margin since March.

*includes intra-eurozone trade.

S&P Global Eurozone Services PMI

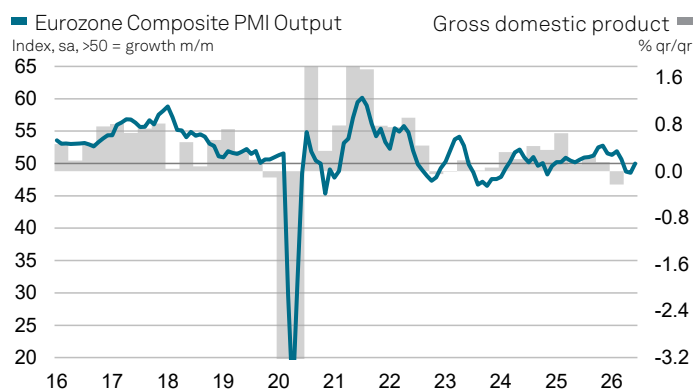
The S&P Global Eurozone Services PMI Business Activity Index posted 49.4 in June, signalling a third successive month of falling output. However, having risen from 47.7 in May, the index was at its highest level since March and signalled a pace of decline that was only marginal overall.

Eurozone service providers reported a decline in new business intakes at the end of the second quarter. The decrease was slightly stronger than that seen for activity levels. As such, backlogs of work were cleared, and to a solid degree.

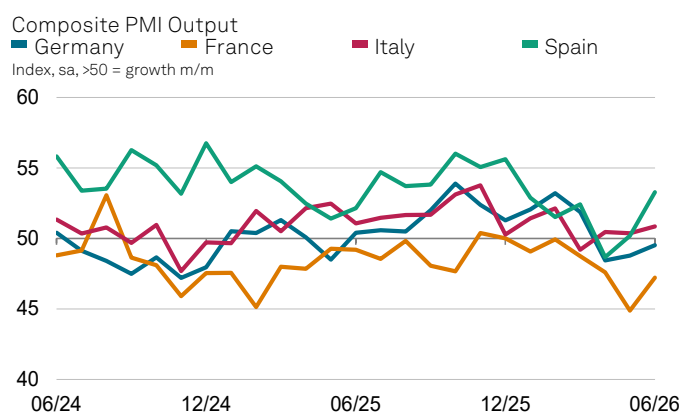
Nevertheless, employment expanded, following a small reduction midway through the second quarter. The rate of job creation was the fastest since January, albeit minimal.

Services companies in the euro area turned more optimistic towards growth prospects over the next 12 months. Sentiment was the highest since February, albeit still below the long-run survey average.

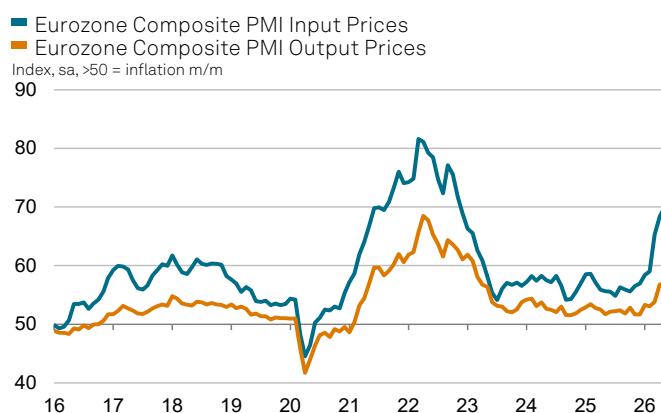
Lastly, input cost inflation in the service sector eased for the first time since October last year, bringing it down to a four-month low. Increases in prices charged were less aggressive as a result.



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Methodology

The S&P Global Eurozone Composite PMI® is compiled by S&P Global from responses to questionnaires sent to survey panels of manufacturers and service providers in eight nations, totalling around 5,000 private sector companies. The panels are each stratified by detailed sector and company workforce size, based on contributions to each country's GDP.

Survey responses are collected in the second half of each month and indicate the direction of change compared to the previous month. A diffusion index is calculated for each manufacturing and services survey variable, at the country level. The index is the sum of the percentage of 'higher' responses and half the percentage of 'unchanged' responses. The indices vary between 0 and 100, with a reading above 50 indicating an overall increase compared to the previous month, and below 50 an overall decrease. The indices are then seasonally adjusted.

Eurozone level indices for manufacturing and services are calculated by weighting together the country indices using national manufacturing and services annual value added (source: Eurostat). Composite eurozone level indices are calculated by weighting comparable manufacturing and services indices using eurozone manufacturing and services annual value added (source: Eurostat).

The headline composite figure is the Composite Output Index. This is a weighted average of the Manufacturing Output Index and the Services Business Activity Index. It may be referred to as the 'Composite PMI' but is not comparable with the headline Manufacturing PMI, which is a weighted average of five manufacturing indices (including the Manufacturing Output Index).

The headline services figure is the Services Business Activity Index. This is a diffusion index calculated from a single question that asks for changes in the volume of business activity compared with one month previously. The Business Activity Index is comparable to the Manufacturing Output Index. It may be referred to as the 'Services PMI' but is not comparable with the headline Manufacturing PMI.

Underlying survey data are not revised after publication, but seasonal adjustment factors may be revised from time to time as appropriate which will affect the seasonally adjusted data series.

Flash data were calculated from 84% of final responses. Since January 2006 the average difference between final and flash Composite PMI values is 0.0 (0.3 in absolute terms). Flash services data were calculated from 78% of final responses. Since January 2006 the average difference between final and flash Services PMI Business Activity Index values is 0.1 (0.3 in absolute terms).

For further information on the PMI survey methodology, please contact economics@spglobal.com.

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